Can AI Startups Replace the Jobs Big Tech Cuts?

I Ran 2,000 Simulations to Find Out

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The short version of my working paper, "Fewer Giants, More Firms?"

The Question I Couldn't Shake

On October 26, Microsoft offered a voluntary exit package to about **60,000 employees**, roughly a quarter of its workforce, while guiding to around **$175 billion** in 2026 capital spending as it builds out AI data centers.

AI already writes most of my implementation code, so the "AI is coming for jobs" headlines aren't abstract for me. But they all assume a fixed set of companies, each needing fewer people.

That misses half the story. If AI makes big companies more productive, it should also make *new* companies cheaper to start. So I asked: **when big companies shed jobs because of AI, will new AI-powered companies hire enough people to make up the difference?** Economists call that **offset**.

Why Cloud Computing Is the Warning Sign

The closest precedent is **cloud computing**. After AWS, you no longer had to buy servers to launch a software company. Starting got dramatically cheaper.

You'd expect a startup boom. Instead, between 2006 and 2020, **the US startup rate kept falling and employment kept concentrating in big firms.** Cheaper to start didn't mean more jobs.

To find out what *does* decide it, I built a model of an economy where companies are born, grow, and die, then hit it with an AI shock that both cuts jobs at incumbents and lowers the cost of starting a firm. Nobody knows how strong those effects will be, so I ran it **2,000 times** with different plausible assumptions. That's a **Monte Carlo simulation**: instead of betting on one forecast, you look at the whole spread of outcomes.

The 81.7% Headline (and Why It's Not the Story)

In **81.7%** of those simulated futures, AI raised total employment. Good news? Partly. When I broke down what drove the results, one factor dominated:

What drives the outcome	Share of variation
Whether AI **helps** workers or **replaces** them	**71%**
How much AI lowers the cost of starting a company	**3%**

Cheaper startups, the cloud-era mechanism, barely move the needle. Most of that 81.7% comes from worlds where AI simply **isn't replacing many people to begin with**, not from startups riding to the rescue.

The Tipping Point

Think of AI as sitting on a dial between **power tool** and **replacement**. As a power tool, it makes each worker more productive, adopting companies grow, and growing companies hire. As a replacement, companies make the same product with fewer people.

Somewhere on that dial is a **tipping point**, which I call the **displacement threshold**. Which side we land on changes everything:

Where AI lands	Chance AI adds jobs
Power-tool side of the tipping point	**99.8%**
Replacement side of the tipping point	**74.9%**
Far past it, and AI-native startups aren't much more productive	**27.8%**

Past the tipping point, the deciding question becomes: **are AI-native startups dramatically more productive?** That matters about six times more than how cheap they are to start.

Where We Are Today

The early data is cautiously encouraging. The Census Bureau's October 2026 survey found **only 2% of businesses using AI cut staff because of it**. That's the power-tool side, for now.

The worrying part: **new AI companies barely hire.** By press reports, Cursor brings in about **$10 million in revenue per employee**. Cloud-era Snowflake and Databricks were at $0.17–0.32 million. Business applications are at a record, up **15.3%** this year, but applications from people planning to **pay wages** are *down* 15.3%. That decline predates AI and shows up in every sector, but the direction is clear: **more firms, not more employers.**

US vs. Europe

I also ran a European version of the model:

	United States	European Union
New employer firms (share/year)	9.1%	4.8%
Private AI investment (2025)	$285.9B	$20.9B
Paperwork to start (OECD, 0–6)	2.03	1.11–2.74
Firing protection (OECD, 0–6)	0.77	1.94–2.88
AI-specific regulation	None federally	AI Act (Dec 2027)
Simulated chance AI adds jobs	**81.7%**	**69.7%**

The surprise: **Europe's problem isn't startup paperwork.** The US actually scores worse than France, Italy, Spain, and Sweden there. Most of the gap is **thin scale-up money**. Europe has AI startups, but far less capital to grow them into real employers.

What I'm Watching

These leading indicators will tell us which side of the tipping point we're on:

Signal	Where to find it	Bad sign
AI-using businesses cutting staff	Census BTOS (US), Eurostat (EU)	Climbs from 2%
Applications planning to pay wages	Census BFS	Keeps falling
Headcount at AI-native startups	Census/OECD firm data	Revenue grows, headcount flat

The first row is the big one. If that 2% starts climbing, the 99.8% world is over.

My Takeaway

Honest caveats first: this is a model, not a forecast. It counts jobs, not whether they pay well or whether a laid-off worker can land one, and cloud computing is an imperfect stand-in for AI.

With that said: **cheaper startups won't save us on their own.** What decides AI's effect on jobs is whether it stays a power tool or becomes a replacement, and right now the data says power tool. I'll check the Census survey each time it updates, and if that 2% moves, I'll write the follow-up.

Want the full paper and the model behind it? Reach out.